

AS level economics

Chp #1 Demand and Supply

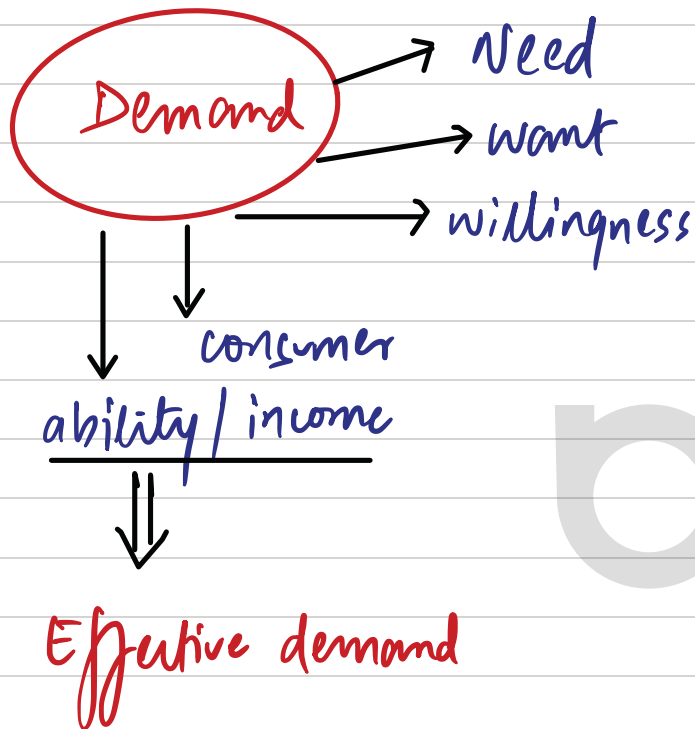
Topic :- Demand.

alpha

Zarak
Mishtaq

Amir

Demand and supply



Relationship

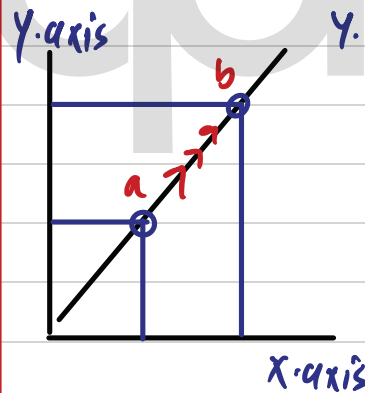
+ve -ve

Zai Zm Zai Zm

↑ ↑ ↑ ↓

↓ ↓ ↓ ↑

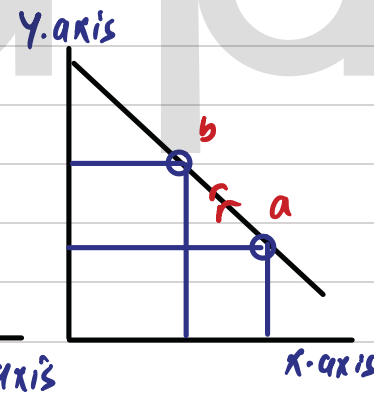
Same direction



Upward sloping

(Best buddies)

opposite direction



Downward sloping

(Tani Dushman)

Note:- Demand represents willingness and ability of a consumer to purchase a good or a service.

Note:- Effective demand, when a consumer has the ability or sufficient income to purchase a good or a service.

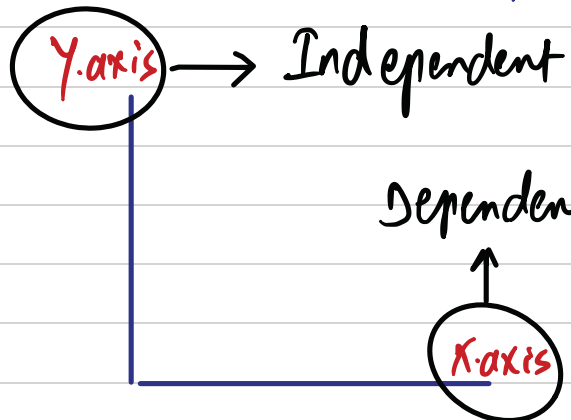
Law of demand

price $\uparrow$ Quantity demand $\downarrow$
units/volume

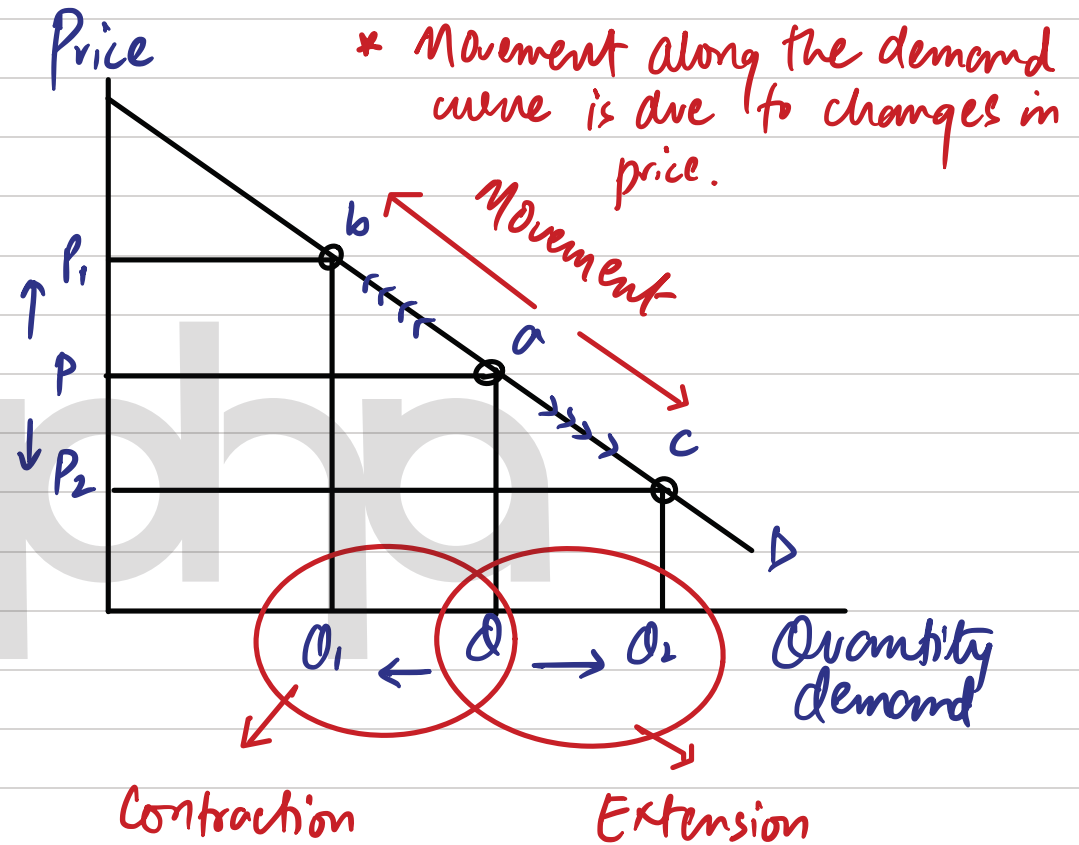
price $\downarrow$ Quantity demand $\uparrow$

Negative Relationship
Downward sloping

Independent vs Dependent
 $\downarrow$ Price $\downarrow$ Quantity demand



Demand curve



Steps:-

- 1) Price
- 2) Quantity demand
- 3) Movement

$P \uparrow$	$P \downarrow$
$P - P_1$	$P - P_2$
$Q - Q_1$	$Q - Q_2$
$a - b$	$a - c$

Law of demand:- There is a negative relationship between price and quantity demand. An increase in price will contract quantity demand and a decrease in price extends quantity demand.

Diagram:- An increase in price from P to P_1 will contract quantity demand from Q to Q_1 , and therefore movement along the demand curve from point a to b . While a decrease in price from P to P_2 will extend quantity demand from Q to Q_2 and therefore movement along the demand curve from point a to c .

Import note:- Demand curve MUST always start by touching y -axis

Ceteris paribus is a Latin phrase that generally means "all other things being equal."

In economics, it acts as a shorthand indication of the effect one economic variable has on another, provided all other variables remain the same.

i.e taking one factor into isolation!

Questions

- Q1 Define demand (include effective demand) ? 2
- Q2 Explain law of demand ? 4
- Q3 Explain the concept of relationship ? 4
- Q4 Using a diagram, explain the effect of increase in price on quantity demand ? 6
- Q5 Using a diagram, explain the effect of decrease in price on quantity demand ? 6